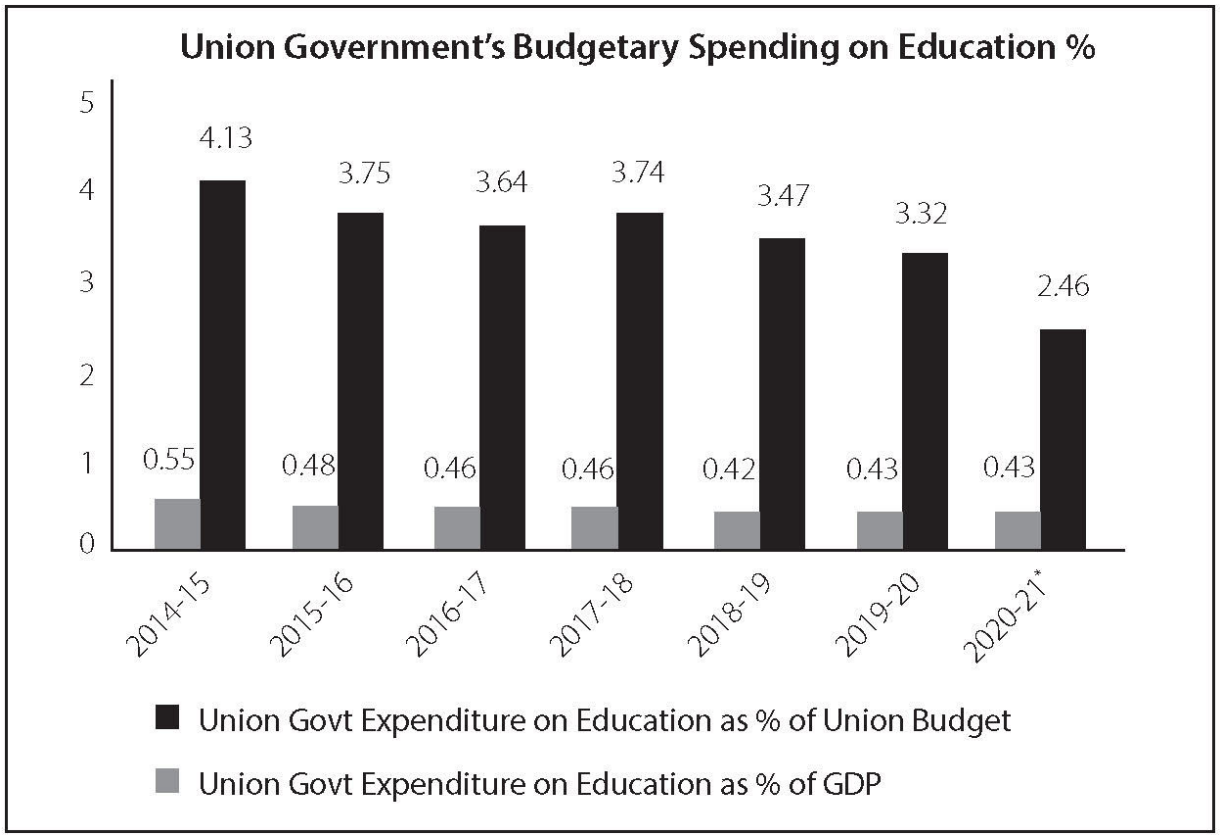


Research by Sanjiv Shankaran.

Source: HRD expenditure data from Union Budgets (Expenditure Budget). GDP at current prices data from RBI, Handbook of Statistics on the Indian Economy, 2020-21, 15 September 2021, available on https://www.rbi.org.in/scripts/AnnualPublications.aspx?head=Handbook%20of%20Statistics%20on%20Indian%20Economy.
** Budget data for 2020-21 is the Revised Estimate; Actual spend will be available in February 2022*

At a deeper level, this reflects a structural problem in government finances: the government simply does not have the funds to pay for its expanding expenditures. The economist Rathin Roy has pointed out that 'the government is simply not able to, year after year, collect the taxes that it says it will collect, and the shortfalls are large'. In 2020, even before the disruptions of the national lockdown, Roy estimated that the government was 0.7 per cent of GDP short of its target on tax collection. Another problem is that 'the government is simply not able to, year after year, disinvest to the extent it wants to disinvest'.[115] This means that, in 2020, the Union budget actually contracted in size, and the only sector in